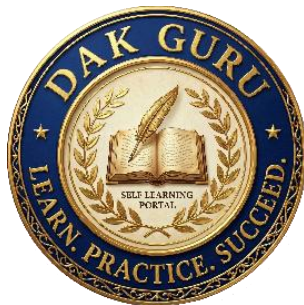




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DAK GURU STUDY MATERIAL

POST OFFICE LIFE INSURANCE RULES, 2011

PLI & RPLI — Schemes, Bonus, Incentives & Operations

Compiled as SANKALAN with subsequent instructions / guidelines

Updated as on June 2026 — incorporating GST 2.0 reform (NIL GST on premium w.e.f. 22.09.2025),
PLI bonus FY 2025-26 & RPLI bonus FY 2025-26

For LDCE Inspector of Posts (IP) & PS Group 'B' Examinations

DISCLAIMER

This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and to incorporate recent changes, amendments, circulars and updates to the relevant Acts, Rules and Regulations, this document is intended as a study aid only. Statutory provisions, bonus rates, fees and tax positions are subject to periodic revision by the Government of India / Department of Posts. Readers and students are strongly advised to verify the current position against official Government gazette notifications and Directorate orders before relying on it for any official or financial decision.

1. Preliminary — Rules 1 to 5

Rule 1 — Short Title, Extent and Commencement

- These rules may be called the **Post Office Life Insurance Rules, 2011**.
- They extend to the **whole of India**.
- They come into force on the **date of their notification**.

Historical note: Postal Life Insurance was originally introduced on **1st February 1884** (the oldest life insurer in India). **12th October** is observed as **PLI Day**.

Rule 2 — Power of the President to Modify

The President reserves the right to make, from time to time, such additions, alterations or modifications in these rules as may be considered necessary.

Rule 3 — Administration

The administration of the **Post Office Life Insurance Fund (POLIF)** and the **Rural Post Office Life Insurance Fund (RPOLIF)** under these rules is vested in the **Director General of Posts**.

Rule 4 — Application

These rules apply to **Postal Life Insurance (PLI)** and **Rural Postal Life Insurance (RPLI)** of the Department of Posts.

Rule 5 — Definitions

In these rules, unless the context otherwise requires, the following key expressions carry the meanings explained below:

- **Acceptance Letter:** An intimation sent by the Postmaster General or Accepting Authority to the proposer regarding the acceptance of the proposal.
- **Accepting Authority:** An officer authorised to accept a proposal for a PLI or RPLI policy.
- **Age Proof:** The proof furnished by the proposer to determine his/her age on the next birthday as on the date of proposal.
- **Auto Paid-up:** A policy for which 36 or more premiums have been paid and which has completed 3 years or more from the date of acceptance, where the policyholder discontinues further premia without intimation. It matures on the same date as the

original policy — for the original sum assured (if future premia are compounded) or for a reduced sum assured.

- **Central Processing Centre (CPC):** A branch of the Head Post Office where all PLI/RPLI work is carried out.
- **Commutation:** Any alteration in a contract of insurance except a change in the date of maturity — e.g., alteration in the amount of premium, the premium term or the sum assured.
- **Conversion:** Any alteration affecting the date of maturity of a contract — including conversion from Whole Life class to Endowment class, and ante-dating/post-dating the maturity of an Endowment policy with consequent increase/decrease of premium.
- **Convertible Whole Life Assurance:** A contract to pay a given sum with accrued bonus on the insured attaining 80 years or on earlier death, with an option to convert at the end of 5 years (grace up to 6 years) into an Endowment Assurance maturing at a specified age.
- **Date of Acceptance:** The date on which the approving authority actually accepts/approves the proposal.
- **Date of Commencement of Risk:** The date on which the approving authority actually accepts/approves the proposal.
- **Director PLI:** The Director, Postal Life Insurance, Kolkata.
- **Due Date of Premium:** The 1st day of the month for which the premium is payable.
- **Free Look Period:** A period of 15 days from the date of delivery of the policy at the insurant's address, during which the insurant may request cancellation of the policy.
- **General Post Office (GPO):** The first-class Head Office at the headquarters of a Circle Head (or, where more than one exists, the one attached to the headquarters).
- **Immediate Superior:** The head of the office in which the proposer serves; if the proposer is himself the head, the officer to whom he is directly subordinate.
- **Insured / Insured Person:** The person to whom a PLI/RPLI policy has been issued.
- **Manager / Postmaster:** Chief Postmaster of GPO, Sr. Postmaster, Head Postmaster of a Head Office, or Director of New Delhi HO / Mumbai GPO / Kolkata GPO, who acts as head of the CPC.

- **Paid-up Policy:** A policy requiring no further premium that matures on the original date — for the original sum assured (if future premia compounded) or a reduced sum assured.
- **Period of Grace:** Extends up to the last day of the calendar month for which the premium is due (or the day before, if the last day is a Sunday/Postal holiday).
- **Policy in Force:** A policy on which all due premia have been paid regularly and which is neither 'void' nor 'lapsed'.
- **Surrender Value:** The amount payable when the insured foregoes the contingent benefit of the policy for an immediate cash payment — admissible only after at least 36 premia have been paid and the policy has run a minimum of 36 months.
- **Void:** A policy of less than 3 years' duration where a due premium is not paid on the first day of the month or within the period of grace.

Lapsing of Policy

- **Less than 3 years' duration:** The policy lapses if more than 6 premia remain unpaid.
- **More than 3 years' duration:** The policy lapses if more than 12 premia remain unpaid.

Reinstatement of a Discontinued Policy

A discontinued policy may be reinstated. Automatic reinstatement is permissible where:

- the policy has completed 3 years and not more than 12 months' premium is unpaid; or
- the policy has not completed 3 years and not more than 6 months' premium is unpaid.

2. Eligibility for PLI — Rule 6

Postal Life Insurance is available to the following categories:

- Employees of the Central & State Governments, Defence and Para-Military Services.
- Employees of Public Sector Undertakings, Banks, Educational Institutions and Local Bodies.
- Professionals such as Doctors, Engineers, Chartered Accountants, MBAs, Lawyers, etc.

- Employees of companies listed on the National Stock Exchange (NSE) / Bombay Stock Exchange (BSE).
- Any person holding a graduate degree / diploma from an Indian or foreign institution.

Note: A final-year marksheet or provisional certificate may be accepted as proof of the graduate/diploma qualification.

3. Schemes of Postal Life Insurance — Rule 7

Introduction & History of PLI

Postal Life Insurance was introduced on **1st February 1884** with the express approval of the Secretary of State for India to Her Majesty the Queen Empress of India. It was conceived as a scheme of State Insurance, mooted in 1881 by the then Director General of Post Offices, Mr. F. R. Hogg, as a welfare measure for postal employees. It is the **oldest life insurer in India**.

- Extended to **employees of the Telegraph Department in 1888**.
- In **1894**, PLI extended insurance cover to **female employees of the P&T Department** — at a time when no other insurer in India covered female lives.
- The original upper limit of insurance was only **Rs. 4,000**, which has since grown to **Rs. 50 Lakhs** (Endowment and Whole Life combined).

Legal status: PLI is an **exempted insurer under Section 118(c) of the Insurance Act, 1938**, and is also exempted under **Section 44(d) of the LIC Act, 1956**. It is therefore outside the purview of IRDAI regulation and is governed by its own rules and Directorate orders.

Funds: PLI business is backed by the Post Office Life Insurance Fund (POLIF), administered by the Director General of Posts.

PLI is distinctive for offering the **highest bonus (return) at the lowest premium** among comparable products in the Indian market. It offers **six types of policies**, described below.

(A) Whole Life Assurance — SURAKSHA

Introduced as the original PLI product in 1884. Under this scheme the assured amount together with accrued bonus is payable to the insured on attaining **80 years of age**, or to the legal representatives / assignees on earlier death, provided the policy is in force on

the date of claim. Being a lifelong cover with the longest accumulation period, it carries the **highest bonus rate** of all PLI schemes.

- **Best suited for:** Those seeking maximum life-long protection and the highest accumulated bonus, who do not need a fixed maturity payout during their working life.
- **Entry Age:** Minimum 19 years; Maximum 55 years.
- **Sum Assured (S.A.):** Minimum Rs. 20,000; Maximum Rs. 50 Lakhs (in multiples of Rs. 10,000).
- **Premium Paying Age:** Option to cease premium at 55, 58 or 60 years.
- **Loan Facility:** Available after 4 years.
- **Surrender:** Allowed after 3 years. No bonus if surrendered before 5 years; proportionate bonus on the reduced S.A. if surrendered after 5 years.
- **Conversion:** Convertible to Endowment Assurance up to age 59 (not within 1 year of premium cessation or maturity).

Legislative note: The maximum sum assured was enhanced to **Rs. 50 Lakhs** vide Directorate order dated **05.07.2016**, superseding the earlier limit.

(B) Convertible Whole Life Assurance — SUVIDHA

A Whole Life Assurance policy carrying the **added flexibility** of an option to convert into an Endowment Assurance policy at the end of 5 years. It lets a young proposer start with low-cost whole-life cover and later switch to a fixed-maturity endowment as financial responsibilities crystallise.

- **Best suited for:** Young earners who want whole-life cover now but may want a defined maturity payout later, depending on how their needs evolve.
- **Entry Age:** Minimum 19 years; Maximum 50 years.
- **Sum Assured:** Minimum Rs. 20,000; Maximum Rs. 50 Lakhs.
- **Conversion Window:** After 5 years but not later than 6 years from taking the policy. If not converted within this window, it is treated as a Whole Life Assurance (Suraksha).
- **Bonus on Conversion:** Whole-Life bonus rate applies until conversion; the Endowment bonus rate applies after conversion.

- **Loan Facility:** Available after 4 years.
- **Surrender:** Allowed after 3 years (no bonus if surrendered before 5 years).

(C) Endowment Assurance — SANTOSH

The **most popular PLI scheme**. The proponent is assured of the sum assured together with accrued bonus on attaining a **pre-determined age of maturity (35, 40, 45, 50, 55, 58 or 60 years)**. On the death of the insurant during the term, the assignee / nominee / legal heir is paid the full sum assured with accrued bonus. It combines protection with a guaranteed lump-sum saving at a chosen age.

- **Best suited for:** Those who want both life cover and a defined lump-sum payout at a chosen age — e.g., to coincide with retirement or a major life goal.
- **Entry Age:** Minimum 19 years; Maximum 55 years.
- **Sum Assured:** Minimum Rs. 20,000; Maximum Rs. 50 Lakhs.
- **Loan Facility:** Available after 3 years.
- **Surrender:** Allowed after 3 years (no bonus if surrendered before 5 years).

(D) Joint Life Assurance — YUGAL SURAKSHA

A **Joint Life Endowment Assurance** covering both spouses under a single policy and a single premium, provided at least one of the spouses is eligible for PLI. Both lives are covered to the extent of the sum assured with accrued bonus.

- **Best suited for:** Married couples who want joint life cover and a single maturity benefit without buying two separate policies.
- **Entry Age:** Minimum 21 years; Maximum 45 years (for both spouses).
- **Age Restriction:** The elder policyholder must not be older than 45 years; both must be between 21 and 45 years.
- **Policy Term:** Minimum 5 years; Maximum 20 years.
- **Sum Assured:** Minimum Rs. 20,000; Maximum Rs. 50 Lakhs.
- **Death Benefit:** On the death of either spouse during the term, the full sum assured with accrued bonus is paid to the survivor, and the policy benefit is settled — cover continues as per rules.
- **Loan / Surrender:** Loan after 3 years; surrender after 3 years.

(E) Anticipated Endowment Assurance — SUMANGAL

A **money-back policy** best suited to those who need periodical returns during the policy term. **Survival benefits** are paid at fixed intervals; importantly, these periodical payments are **not deducted** from the death benefit — if the insurant dies during the term, the full sum assured with accrued bonus is paid irrespective of survival benefits already received.

- **Best suited for:** Those needing liquidity at regular intervals (e.g., recurring family expenses) while retaining full life cover.
- **Entry Age:** Minimum 19 years; Maximum 40 years for the 20-year term and 45 years for the 15-year term.
- **Policy Term:** 15 years or 20 years.
- **Sum Assured:** Maximum Rs. 50 Lakhs.

Survival Benefits

- **15-Year Term:** 20% each at the end of 6, 9 and 12 years; 40% + accrued bonus at 15 years (maturity).
- **20-Year Term:** 20% each at the end of 8, 12 and 16 years; 40% + accrued bonus at 20 years (maturity).
- **Death Benefit:** Full sum assured with accrued bonus is payable, irrespective of survival benefits already paid.

(F) Children Policy — BAL JIVAN BIMA

A scheme that provides **life-insurance cover to the children of policyholders**. The parent (who must hold a PLI/RPLI policy) is responsible for paying the premium on the Children Policy. A distinctive feature is the **automatic premium waiver** on the death of the parent.

- **Best suited for:** Parents who wish to secure an assured sum for their children at low cost, with protection that continues even if the parent dies.
- **Eligibility:** Maximum 2 children of the policyholder.
- **Child's Age:** 5 to 20 years.
- **Parent's Age:** The policyholder (parent) must not be over 45 years.
- **Sum Assured:** Maximum Rs. 3 Lakhs (PLI), or equal to the parent's S.A., whichever is less.

- **Bonus:** Attracts the bonus rate applicable to the Endowment (Santosh) policy.
- **Premium Waiver:** On the death of the parent, no further premium is payable on the Children Policy; the full sum assured with accrued bonus is paid on completion of term.
- **Medical:** No medical examination for the child, but the child must be in good health.
- **Loan / Surrender:** No loan facility; paid-up facility available if premia have been paid continuously for 5 years.

(G) PLI Bonus Rates — FY 2025-26

Effective 01.04.2025 per the Directorate of Postal Life Insurance gazette notification (declared December 2024), based on actuarial valuation of POLIF as on 31.03.2024. Rates remain in force until the next valuation.

Scheme	Bonus (per Rs. 1,000 Sum Assured)
WLA (Suraksha)	Rs. 76
CWLA (Suvidha)	Rs. 76 (Rs. 52 once converted to EA)
EA (Santosh)	Rs. 52
Children Policy	Rs. 52
Joint Life (Yugal Suraksha)	Rs. 52
AEA (Sumangal)	Rs. 48
Terminal Bonus	Rs. 20 per Rs. 10,000 S.A. — max Rs. 1,000 for WLA/EA with term of 20 years or more

(H) PLI Schemes — At a Glance

Scheme	Entry Age	Sum Assured	Loan	Surrender
Suraksha (WLA)	19–55	Rs. 20,000 – 50 L	4 yrs	3 yrs
Suvidha (CWLA)	19–50	Rs. 20,000 – 50 L	4 yrs	3 yrs
Santosh (EA)	19–55	Rs. 20,000 – 50 L	3 yrs	3 yrs
Yugal Suraksha (JLA)	21–45	Rs. 20,000 – 50 L	3 yrs	3 yrs
Sumangal (AEA)	19–40/45	Up to Rs. 50 L	—	—
Bal Jivan Bima	Child 5–20	Up to Rs. 3 L	No	Paid-up 5 yrs

4. Rural Postal Life Insurance (RPLI)

Introduction & Objective of RPLI

Rural Postal Life Insurance was introduced on **24th March 1995** on the recommendations of the **Malhotra Committee** (the Official Committee for Reforms in the Insurance Sector). The Committee had observed in **1993** that only about **22% of the insurable population** of the country was insured, and that life-insurance funds accounted for only about 10% of gross household savings.

The Government accepted these recommendations and permitted Postal Life Insurance to extend its coverage to rural areas, chiefly because of the **vast network of rural Post Offices** and the low cost of operations. The **prime objective** of RPLI is to provide insurance cover to the rural public in general — and to **benefit the weaker sections and women workers of rural areas in particular** — while spreading insurance awareness among the rural population.

Fund: RPLI business is backed by the Rural Post Office Life Insurance Fund (RPOLIF), administered by the Director General of Posts.

Note: RPLI offers six policies, broadly mirroring the PLI schemes but with lower sum-assured limits suited to rural incomes (minimum Rs. 10,000; maximum Rs. 10 Lakhs in multiples of Rs. 5,000).

(A) Whole Life Assurance — Gram Suraksha

The rural counterpart of Suraksha. The assured amount with accrued bonus is payable on the insured attaining **80 years**, or to the legal representatives / assignees on earlier death, provided the policy is in force on the date of claim. It carries the **highest bonus rate** among RPLI schemes.

- **Best suited for:** Rural earners seeking lifelong protection with the maximum accumulated bonus.
- **Entry Age:** Minimum 19 years; Maximum 55 years.
- **Sum Assured:** Minimum Rs. 10,000; Maximum Rs. 10 Lakhs (multiples of Rs. 5,000).
- **Premium Paying Age:** Option to cease premium at 55, 58 or 60 years.
- **Loan / Surrender:** Loan after 4 years; surrender after 3 years (no bonus before 5 years; proportionate bonus on reduced S.A. thereafter).

- **Conversion:** Convertible to Endowment Assurance (Gram Santosh) up to age 59 (not within 1 year of premium cessation / maturity).

(B) Convertible Whole Life Assurance — Gram Suvidha

A whole-life policy that combines the advantages of **Gram Suraksha (whole life)** and **Gram Santosh (endowment)** — it can be converted into an Endowment Assurance policy after 5 policy years, allowing the rural policyholder to switch to a fixed-maturity benefit as needs change.

- **Best suited for:** Rural policyholders who want whole-life cover initially but the flexibility of a maturity payout later.
- **Entry Age:** Minimum 19 years; Maximum 50 years.
- **Sum Assured:** Minimum Rs. 10,000; Maximum Rs. 10 Lakhs (multiples of Rs. 5,000).
- **Conversion Window:** After 5 years but not later than 6 years; if not converted, treated as Whole Life Assurance (Gram Suraksha).
- **Loan / Surrender:** Loan after 4 years; surrender after 3 years (no bonus before 5 years).

(C) Endowment Assurance — Gram Santosh

The rural endowment plan. The proponent is assured of the sum assured with accrued bonus on attaining the chosen **maturity age (35, 40, 45, 50, 55, 58 or 60 years)**; on death during the term, the nominee / legal heir is paid the full sum assured with accrued bonus. It combines protection with disciplined savings.

- **Best suited for:** Rural earners wanting both cover and a guaranteed lump sum at a chosen age.
- **Entry Age:** Minimum 19 years; Maximum 55 years.
- **Sum Assured:** Minimum Rs. 10,000; Maximum Rs. 10 Lakhs (multiples of Rs. 5,000).
- **Loan / Surrender:** Loan after 3 years; surrender after 3 years (no bonus before 5 years).

(D) 10-Year Rural PLI — Gram Priya

A **short-term, 10-year money-back scheme** designed specifically for the rural populace who want a quick-maturing policy with periodical returns. It is the shortest-term RPLI product.

- **Best suited for:** Rural policyholders preferring a short tenure with early money-back payouts.
- **Entry Age:** Minimum 20 years; Maximum 45 years.
- **Sum Assured:** Minimum Rs. 10,000; Maximum Rs. 10 Lakhs (multiples of Rs. 5,000).

Survival Benefits

- **End of 4 years:** 20%.
- **End of 7 years:** 20%.
- **End of 10 years:** 60% with accrued bonus (maturity).
- **Natural Calamity Relief:** No interest is charged for up to one year on arrears of premia in cases of natural calamity such as flood, drought, earthquake or cyclone.

(E) Anticipated Endowment Assurance — Gram Sumangal

The rural **money-back policy**, best suited to those needing periodical returns. As with PLI Sumangal, survival benefits paid during the term are **not deducted** from the death benefit.

- **Best suited for:** Rural policyholders needing liquidity at regular intervals while retaining full cover.
- **Sum Assured:** Maximum Rs. 10 Lakhs.
- **Policy Term:** 15 years or 20 years.
- **Age Limit:** Maximum 40 years for the 20-year term; 45 years for the 15-year term.

Survival Benefits

- **15-Year Term:** 20% each at 6, 9 and 12 years; 40% + bonus at 15 years (maturity).
- **20-Year Term:** 20% each at 8, 12 and 16 years; 40% + bonus at 20 years (maturity).
- **Death Benefit:** Full sum assured with accrued bonus is payable, irrespective of survival benefits already paid.

(F) Children Policy — Gram Bal Jivan Bima

Provides **life-insurance cover to the children of RPLI policyholders**, with the same premium-waiver protection on the death of the parent as in the PLI Children Policy.

- **Best suited for:** Rural parents securing an assured sum for their children at minimal cost.

- **Eligibility:** Maximum 2 children per policyholder (parent).
- **Age Limits:** Children 5–20 years; parent must not be over 45 years.
- **Sum Assured:** Maximum Rs. 1 Lakh (RPLI), or equal to the parent's S.A., whichever is less.
- **Bonus:** Attracts the bonus rate applicable to the Endowment (Gram Santosh) policy.
- **Premium Waiver:** No premium payable on the Children Policy after the death of the parent; full S.A. and bonus paid on completion of term.
- **Medical:** No medical examination for the child, but the child must be in good health.
- **Loan / Surrender:** No loan; paid-up facility after 5 years of premia.

Legislative note: The PLI Children Policy limit is **Rs. 3 Lakhs**, whereas the RPLI Children Policy limit remains **Rs. 1 Lakh**.

Important Operational Notes for RPLI

- **Non-Standard Age Proof:** Maximum sum assured Rs. 1 Lakh with 5% extra premium loading.
- **Medical Examination Threshold:** Any proposal with sum assured above Rs. 25,000 attracts the usual medical examination.
- **Age Restriction:** A person taking a policy of Rs. 25,000 or more on non-standard age proof must not be older than 45 years.

(G) RPLI Bonus Rates — FY 2025-26

Effective 01.04.2025 per the Directorate of Postal Life Insurance gazette notification (declared December 2024), based on actuarial valuation of RPOLIF as on 31.03.2024.

Scheme	Bonus (per Rs. 1,000 Sum Assured)
WLA (Gram Suraksha)	Rs. 60
CWLA (Gram Suvidha)	Rs. 60 (Rs. 48 once converted to EA)
EA (Gram Santosh)	Rs. 48
Children Policy	Rs. 48
AEA (Gram Sumangal)	Rs. 45
10-Year (Gram Priya)	Rs. 45

Scheme	Bonus (per Rs. 1,000 Sum Assured)
Terminal Bonus	Rs. 20 per Rs. 10,000 S.A. — max Rs. 1,000 for WLA/EA with term over 20 years

(H) RPLI Schemes — At a Glance

Scheme	Entry Age	Sum Assured	Loan	Surrender
Gram Suraksha (WLA)	19–55	Rs. 10,000 – 10 L	4 yrs	3 yrs
Gram Suvidha (CWLA)	19–50	Rs. 10,000 – 10 L	4 yrs	3 yrs
Gram Santosh (EA)	19–55	Rs. 10,000 – 10 L	3 yrs	3 yrs
Gram Priya (10-yr)	20–45	Rs. 10,000 – 10 L	—	—
Gram Sumangal (AEA)	Up to 40/45	Up to Rs. 10 L	—	—
Gram Bal Jivan Bima	Child 5–20	Up to Rs. 1 L	No	Paid-up 5 yrs

5. Rebates and Service Charges

Rebate on Advance Premium

General Rebate (PLI & RPLI)

- **12 Months:** 2% of premium.
- **6 Months:** 1% of premium.
- **3 Months:** 0.5% of premium (RPLI only).

Yugal Suraksha — Special Rebate

- **12 Months:** 50% of one month's premium.
- **6 Months:** 10% of one month's premium.
- **3 Months:** 2% of one month's premium.

Schedule of Fees for Services

Service	Fee
Duplicate Policy Bond	Rs. 100
Conversion Charge	Rs. 20
Duplicate Premium Receipt Book	Rs. 20
Duplicate Loan Receipt Book	Rs. 5

6. Medical & Non-Medical Schemes

Limits for Non-Medical Policies

Feature	PLI (Non-Medical)	RPLI (Non-Medical)
Max Sum Assured	Rs. 5 Lakhs	Rs. 1 Lakh (Rs. 25,000 on Non-Standard Age Proof)
Max Age	40 years (for S.A. above Rs. 2L up to Rs. 5L)	35 years
Note: Except for the specific cases above, a medical examination is necessary for all PLI and RPLI policies.		

Death-Claim Benefits — Non-Medical Policies

If a non-medical policy becomes a death claim before maturity, the amount payable to the nominee/claimant is scaled by the duration of the policy:

Time of Death (from Acceptance)	Amount Payable
Before 1 year	35% of (Sum Assured + Accrued Bonus)
After 1 year but before 2 years	60% of (Sum Assured + Accrued Bonus)
After 2 years but before 3 years	90% of (Sum Assured + Accrued Bonus)
After 3 years	100% of (Sum Assured + Accrued Bonus)

7. Medical Officers — Status & Fees

Authorised Medical Officers

The status of the examining Medical Officer depends on the sum assured:

Up to Rs. 5 Lakhs

- Assistant Civil Surgeon or above / Medical Officer in a PHC.
- Retired Medical Officer (Grade-II).
- Registered Medical Practitioners (Allopathic) appointed by the Head of Division (limit Rs. 5 Lakhs).

Above Rs. 5 Lakhs up to Rs. 10 Lakhs

- Dy. Civil Surgeon or above.

- Medical Officer equivalent to Dy. Civil Surgeon (Central/State Govt) with minimum 10 years' experience.
- Retired Medical Officers (Grade-I).

Above Rs. 10 Lakhs

- Civil Surgeon / Chief Medical Officer (CMO).
- Medical Officer (Allopathic) equivalent to Civil Surgeon with minimum 15 years' experience.
- Retired Civil Surgeon, CMO Grade-I, or Specialist Grade-I.

Note: The Divisional Head may appoint retired medical officers/specialists who have voluntarily resigned and are working as practising consultants.

Medical Examination Fees

Sum Assured	Fee
Up to Rs. 10 Lakhs	Rs. 50
Above Rs. 10 Lakhs up to Rs. 20 Lakhs	Rs. 70
Above Rs. 20 Lakhs	Rs. 120

- **Second Medical Opinion:** If a proposal is not accepted within 60 days after the first medical examination, a second medical certificate is required. The fee is paid by the proposer if the delay is on his/her account; otherwise it is met from the Insurance Fund.

8. Policy Servicing & Maintenance

Cancellation (Free Look Period)

The insurant may request cancellation of the policy within 15 days of delivery of the policy document (the "Free Look Period").

Commencement of Risk

A life-insurance contract commences from the date of acceptance borne on the policy or the written document recording the contract. The policy bond is given to the insured for custody.

Assignment & Nomination

- **Assignment:** Policies may be assigned by the policyholder for valuable consideration or by way of gift.
- **Nomination:** Policyholders are advised to nominate a person or trust to receive the sum assured on death.
- **Disqualification:** If a nominee/legal heir is charged with the murder of the policyholder, the policy money is not paid to that person unless he/she is honourably acquitted by a competent court.

9. Sales-Force Structure & Eligibility

Promotional Structure for Development Officers

- **Re-designation:** The post of Group Leader has been rechristened Development Officer.
- **Eligibility:** PA / LSG / HSG officials are eligible for selection as Development Officers.
- **Age Limit:** Minimum 25 years; Maximum 55 years (on the date of calling applications).
- **Work Experience:** Minimum 5 years' continuous service in the Department of Posts in the PA cadre as on the date of calling applications.

Categories of Sales Force

The PLI/RPLI sales force comprises Direct Agents, Gramin Dak Sevaks (GDS), Field Officers and Departmental Employees. Age eligibility is as follows:

Category of Sales Force	Minimum Age	Maximum Age
Direct Agent	18 years	No age limit
Field Officers (Retired Govt officials / GDS)	—	No age limit
Gramin Dak Sevaks (GDS)	18 years	65 years
Departmental Employees (DE)	18 years	60 years

Note: For procuring PLI/RPLI business, Departmental Employees also include the **Inspector of Posts (IP)** and **Assistant Superintendent of Post Offices (ASP)**.

Business-Procurement Conditions

- **Minimum Business:** There is no minimum business requirement for any sales force in a financial year.

Legislative note: The earlier condition of procuring 4 **PLI/RPLI policies** per financial year has been done away with w.e.f. **01.04.2025**.

- **Promotion:** A Departmental Employee promoted to a post where new business cannot be procured continues to earn incentives on policies procured before promotion.
- **Termination:** No incentive is paid on termination for fraud, dishonesty, forgery or criminal offence (DA/FO) or on dismissal/removal from service (DE/GDS).
- **Nomination Facility:** A nominee/legal heir may receive incentives on the death of a sales-force member, provided the agent worked continuously for at least 2 years and policies on at least 8 different lives were in force immediately before death. The nominee cannot procure new business on that agency.
- **Post-Retirement Incentive:** A DE/GDS continues to earn renewal incentives after superannuation/discharge if enrolled as a Field Officer within 3 months of leaving service.
- **Jurisdiction:** The sales force may procure business from anywhere within a Postal Circle.

Licensing & Security (Direct Agents)

- **Security Deposit:** Rs. 5,000 pledged to the President of India (held by the Divisional Head).
- **License Validity:** A permanent licence is valid for 5 years, renewable annually on satisfactory performance.

License Fees

- **Provisional Licence:** Rs. 50.
- **Permanent Licence:** Rs. 100.
- **Duplicate / Renewal:** Rs. 50.

10. Incentive Structure

(A) PLI Procurement Incentive

Applicable to WLA, CWLA, EA, Children Policy and Yugal Suraksha:

Premium Paying Term	Incentive (% of 1st-Year Premium)
Up to and equal to 15 years	4%
More than 15 years up to 25 years	10%
More than 25 years	20%

Applicable to Anticipated Endowment Assurance (AEA):

Premium Paying Term	Incentive (% of 1st-Year Premium)
Less than or equal to 15 years	5%
Term beyond 15 years	7%

(B) RPLI Procurement Incentive

For all types of RPLI policies, the procurement incentive is 10% of the procurement premium for every category of sales force.

(C) Renewal Incentive

- **PLI:** 1% of renewal premium.
- **RPLI:** 2.5% of renewal premium.

Notes

- Incentives are payable on Online/Cash policies.
- No renewal incentive is payable on **Pay Recovery** policies.
- Since **July 2023**, incentives are credited directly to the POSB account via the Portal.

(D) Incentive for Monitoring Staff

Effective from 01.04.2025:

Officer	Rate	Business Procured By
Divisional Head	0.20%	All sales force (DE/FO/GDS/DA)
ASP (HQ) / OS / Dy. SP	0.80%	DE under Administrative Offices

Officer	Rate	Business Procured By
Sub-Divisional Head	0.60%	GDS under Sub-Division
Sub-Divisional Head	0.80%	DE under Sub-Division
Development Officer (DO)	0.80%	DA / FO
Mail Overseer	0.20%	GDS under him

Restriction: No renewal incentive is paid to Divisional Heads, ASPs, Sub-Divisional Heads, Mail Overseers or Development Officers.

11. Operational Guidelines & Taxation

GST on PLI / RPLI Premium — Major Update (GST 2.0)

KEY UPDATE — EFFECTIVE 22.09.2025

Under the GST 2.0 reform (GST Council decision dated 03.09.2025, Notification No. 16/2025-Central Tax (Rate)), GST on all **individual life insurance premiums — including PLI and RPLI — has been reduced from 18% to NIL (zero)** with effect from **22nd September 2025**.

Earlier position (now superseded): first-year premium attracted GST @ 4.5% (CGST 2.25% + SGST 2.25%) and renewal premium @ 2.25% (CGST 1.125% + SGST 1.125%).

Timing rules (premium)

- No GST on PLI/RPLI premiums due on or after October 2025.
- GST still applies on premiums that were due up to September 2025 but paid on/after 22.09.2025.
- New policies accepted on or after 22.09.2025 — no GST is applicable.
- The exemption is only for individual policies; group insurance contracts continue to attract 18% GST.

GST on Default Fee (late-deposit fine)

- GST @ 18% continues to apply on the default fee for dues up to September 2025.
- No GST is charged on the default fee for policies due on or after October 2025.

GST & TDS on Sales-Force Incentive

- **GST on Incentive:** Incentive paid to the sales force attracts 18% GST (CGST 9% + SGST 9%).

- **Reverse Charge Mechanism (RCM):** As individual agents are not GST-registered, the Department of Posts pays this GST under RCM. RCM on incentives continues even after 22.09.2025.

Important: Input Tax Credit (ITC) on the GST paid under RCM on sales-force incentives is **not** available to Post Offices w.e.f. 22.09.2025, because the underlying insurance supply is now exempt.

- **Income-Tax TDS:** TDS is deducted at 2% under Section 194D (reduced from 5% w.e.f. 01.04.2025; threshold raised to Rs. 20,000 per financial year).

Illustration — Incentive Payment

Particulars	Amount
Incentive earned	Rs. 10,000
Less: TDS @ 2% (Section 194D)	Rs. 200
Net payable to agent	Rs. 9,800
GST @ 18% paid by Department under RCM	Rs. 1,800

Honorarium to CPC Staff

Honorarium is paid after issuance of the policy bond, at the following rates per new proposal:

Activity	Rate per New Proposal
Indexing (BO / SO / HO)	Rs. 2
Scanning Assistance	Rs. 2
Data Entry	Rs. 2
Quality Checker	Rs. 2
Approver	Rs. 2
Issuance of Bond	Rs. 2
Total	Rs. 12

Premium-Payment Modes

Renewal premiums may be paid through:

- IPPB Mobile App.
- IPPB Counter.

- Micro-ATM (via Postman/GDS).
- Standing Instruction (SI) through an IPPB account.

Note: Merchant Discount Rate (MDR) charges on online transactions are borne by the customer w.e.f. 17.01.2022.

12. Training & Examination – PMTA

PLI Mobile Training App (PMTA)

Launched on **12.10.2022** in collaboration with the **Insurance Institute of India (III), Mumbai**; available in **12 languages**.

Training Requirements

- **Mandatory Training:** 15 hours of training on the App for new and existing DE/GDS/DA/FO.
- **Duration:** Online training is open for 30 days from activation; the Licentiate Examination must be passed within this window.
- **Attempts:** Unlimited attempts within the 30-day window.
- **Passing Marks:** 35% (total of 25 questions).
- **Certification:** A “Training-cum-Examination Certificate” is generated by the App on passing.

Fee Structure

The candidate initially pays the fee, which is reimbursed by the Division for DE/GDS on passing:

Component	Amount
Training & Book PDF	Rs. 219.00
Examination Fee	Rs. 120.00
GST	Rs. 61.00
Total	Rs. 400.00

- **Re-attempt Fee:** If training/exam is not completed within 30 days, Rs. 400 is payable again. If training was completed but the exam failed, only Rs. 120 (exam fee) is payable.

- **Timeline for Direct Agents:** Direct Agents/Field Officers must clear the Licentiate Examination within 3 years to convert a provisional licence into a permanent one.

EXAM-FOCUS SUMMARY OF RECENT CHANGES

- NIL GST on PLI/RPLI premium w.e.f. 22.09.2025 (GST 2.0); group policies still 18%.
- ITC on RCM-GST for agent incentives not available to Post Offices from 22.09.2025.
- TDS on incentive 2% u/s 194D w.e.f. 01.04.2025 (threshold Rs. 20,000).
- Condition of 4 policies per year removed w.e.f. 01.04.2025; no minimum business now.
- PLI bonus FY 2025-26: WLA 76, EA 52, AEA 48 / RPLI: Gram Suraksha 60, Gram Santosh 48, Gram Sumangal & Gram Priya 45 (per Rs. 1,000 S.A.).